

Investor Update — 3 Madison St

Sag Harbor, NY · Hildreth Real Estate Advisors · Issued: May 12, 2026

A NOTE FROM THE OPERATOR

3 Madison Street is a small but high-performing mixed-use property in the heart of Sag Harbor village — roughly **4,500 square feet across 4 units** with a ground-floor retail anchor plus office and apartment space upstairs.

The property is anchored by **Love Shack Fancy** (women's fashion retailer) on the ground floor at \$18,212/mo + \$1,512 CAM — the single largest revenue line — plus a Love Shack Fancy office on the 1st floor at \$4,783/mo. **Sag Pizza** occupies the 1st floor apartment at \$5,500/mo. The 2nd floor apartment is currently vacant.

The property is financed with a small **interest-only mortgage** at ~\$1,550,000 estimated principal, paying \$8,394/mo interest. Distributions totaling **\$424,854 have already been paid to investors** through the operating history — meaningful return of capital.

What's left:

- Lease the **2nd floor apartment** (currently vacant, ~840 SF)
- Negotiate **Love Shack Fancy** retail renewal (lease expires 3/31/2026) — anchor tenant on the highest-revenue space; renewal terms drive valuation
- Confirm Love Shack Fancy office renewal (lease expires 4/30/2026)
- Reconcile the mortgage principal account on the operating GL (principal currently held at shell entity 130)

Once stabilized — meaning the vacant apartment is leased and both Love Shack Fancy leases are renewed — we believe the property should support a **valuation in the \$3.4M – \$4.1M range** based on current Sag Harbor village retail cap rates (5.5% – 6.5%). The detail behind that range is in the report that follows.

— Jason

Hildreth Real Estate Advisors

The valuation reflected in the attached report is an internal management estimate based on stabilized NOI and prevailing market cap rates as of the date issued. Actual market value will depend on capitalization rates, lender environment, tenant performance, and broader economic conditions at the time of any sale or refinance — all of which can change. Numbers are illustrative, not an appraisal or offer.

1. Current Rent Roll (2026-05-12)

Unit	Tenant	SF	Base Rent	CAM	Loaded (Scheduled)	Billable Now	Lease End	Status
Fl 1 Apt	Sag Pizza LLC	1,068	\$5,500	—	\$5,500	\$5,500	2027-05-10	Current
Fl 1 Office	Love Shack Fancy	500	\$4,783	\$756	\$5,539	\$5,539	2026-04-30	Current
Fl 2 Apt	Vacant	842	—	—	—	—	—	VACANT
Ground Fl Retail	Love Shack Fancy	2,058	\$18,212	\$1,512	\$19,724	\$19,724	2026-03-31	Current
1	Vacant	0	—	—	—	—	—	VACANT
Total — 3 of 5 units leased		3,626 / 4,468	\$28,495	\$2,267	\$30,763	\$30,763	81.2% leased	

Combined rent roll for 136 Main Street and 11 Indian Wells Highway, Amagansett. "Scheduled" = stabilized contractual base + CAM. "Billable Now" reflects current billing. Several tenants are currently in holdover status — see the cover note and 90-Day Action Plan for resolution path.

2. CapEx To Date

The property has had a steady cadence of capital spend since acquisition (June 2024 through early 2026), centered on a new roof and a multi-unit apartment renovation program. Spend is derived directly from the General Ledger.

Project	Category	GL Account	Status	Spent
Building Improvements — Roof Replacement (A-1 Roofing & Siding)	Building Improvement	1860	Completed	\$149,266
CapEx through P&L (9xxx — special inspections, etc.)	Other	9xxx	Completed	\$38,514
Total CapEx Spent To Date				\$187,780

Primary vendors: A-1 Roofing and Siding (~\$150K), Hildreth Real Estate Advisors (construction management), Ramage Equities, Acorn Property Management, Comfort Tile & Design, Merritt Environmental (Phase I / ESA).

3. Remaining CapEx

No outstanding capital projects budgeted at this time. Future TI / LC reserves will be triggered by lease activity (e.g., Atelier and ETS Bagels renewals in pipeline).

4. Rent Roll — 1 Year Forward (May 2027)

Projected Monthly Loaded Rent (May 2027): \$30,763 vs. \$30,763 billable today (+\$0/mo)

Unit	Tenant	SF	Base Rent	CAM	Loaded	Status
FI 1 Apt	Sag Pizza LLC	1,068	\$5,500	—	\$5,500	occupied
FI 1 Office	Love Shack Fancy	500	\$4,783	\$756	\$5,539	holdover
FI 2 Apt	<i>Vacant</i>	842	—	—	—	vacant
Ground FI Retail	Love Shack Fancy	2,058	\$18,212	\$1,512	\$19,724	holdover
1	<i>Vacant</i>	0	—	—	—	vacant
Forward Total — 3 of 5 units leased		3,626 / 4,468			\$30,763	81.2% leased

5. Proforma — Fully Occupied (Stabilized)

Assumes every unit is leased at its stabilized contract rent (or, for vacant units, at the in-flight prospect rent). No free-rent or half-rent discounts.

Unit	Tenant	SF	Stabilized Rent	CAM	Loaded	Source
FI 1 Apt	Sag Pizza LLC	1,068	\$5,500	—	\$5,500	
FI 1 Office	Love Shack Fancy	500	\$4,783	\$756	\$5,539	
FI 2 Apt	—	842	—	—	—	
Ground FI Retail	Love Shack Fancy	2,058	\$18,212	\$1,512	\$19,724	
1	—	0	—	—	—	
Stabilized Total		4,468	\$28,495	\$2,267	\$30,763	

Stabilized NOI

Stabilized Revenue	\$350,694
Stabilized Operating Expenses	(\$127,496)
Stabilized NOI	\$223,198

Valuation Range

Cap Rate	Valuation	Per SF
6.5% (Low Cap → High Value)	\$4,058,149	\$908
7.0% (Mid)	\$3,719,970	\$833
7.5% (High Cap → Low Value)	\$3,433,818	\$769

Total Equity Invested To Date

Sources of Funds	
Total Equity Contributed (operator-confirmed partner capital, both properties)	—
1st Mortgage Outstanding	\$1,550,000
Total Sources of Funds (≈ All-In Basis)	\$1,550,000
Uses of Funds (per GL — basis breakdown)	
CapEx Invested (1xxx fixed-asset + 9xxx P&L)	\$187,780

Implied Equity & Return on Investment

Valuation @ 7.0% (Mid)	\$3,719,970
Less: 1st Mortgage Principal	(\$1,550,000)
Implied Equity Value (Today)	\$2,169,970
Plus: Cash Distributions Paid To Investors (To Date)	\$424,854
Less: Total Equity Invested To Date	(—)
Total Equity at Stabilization	—
Unrealized Gain + Distributions vs. All-In	\$2,594,824
Equity Multiple at Stabilization (Mid)	0.00x

Distributions paid to date: \$424,854 (by year — 2022: \$159,966, 2023: \$60,000, 2024: \$168,188, 2025: \$36,529, 2026: \$171). Source: GL account 3250 — Owner Distribution.

Multiple Calculations (PE/RE Standard Metrics)

Multiple	Value	Definition
DPI — Distributions / Paid-In	0.00x	Cash already returned to investors per \$1 contributed
RVPI — Residual Value / Paid-In	0.00x	Unrealized equity value per \$1 contributed
TVPI (MOIC) — Total Value / Paid-In	0.00x	Total value (distributions + residual) per \$1 contributed

Cap rate range reflects current Long Island commercial retail market (6.5% – 7.5%). Lower cap rate = higher valuation. Stabilized opex excludes \$19,754 of one-time addbacks where applicable.

6. T-12 Cash Flow Statement (Apr 2025 – Mar 2026)

Month	Revenue	Operating Expenses	NOI	CapEx	Debt Service	Net Cash Flow
Apr 2025	\$38,974	(\$7,898)	\$31,076	(\$1,092)	(\$43,548)	\$-13,565
May 2025	\$29,171	(\$37,912)	\$-8,741	(—)	(\$40,756)	\$-49,496
Jun 2025	\$25,263	(\$23,537)	\$1,726	(—)	(\$38,865)	\$-37,139
Jul 2025	\$30,763	(\$12,669)	\$18,093	(—)	(\$17,125)	\$968
Aug 2025	\$25,263	(\$5,936)	\$19,326	(—)	(\$8,483)	\$10,843
Sep 2025	\$25,263	(\$12,027)	\$13,236	(—)	(\$8,469)	\$4,767
Oct 2025	\$43,159	(\$7,367)	\$35,792	(\$5,550)	(\$8,180)	\$22,061
Nov 2025	\$29,366	(\$5,318)	\$24,049	(—)	(\$8,435)	\$15,613
Dec 2025	\$30,763	(\$6,327)	\$24,436	(—)	(\$7,844)	\$16,591
Jan 2026	\$30,763	(\$6,898)	\$23,865	(—)	(\$8,403)	\$15,462
Feb 2026	\$33,997	(\$5,066)	\$28,931	(—)	(\$8,403)	\$20,528
Mar 2026	\$25,224	(\$13,097)	\$12,127	(—)	(\$8,403)	\$3,724
T-12 Total	\$367,967	(\$144,052)	\$223,915	(\$6,642)	(\$206,915)	\$10,357

Cash-basis as recorded in the General Ledger. Revenue includes base rent + CAM + reimbursements. Net Cash Flow = NOI – CapEx – Debt Service and represents cash available to investors before distributions / reserves.